



TPS EASTERN AFRICA LIMITED

UNAUDITED CONSOLIDATED RESULTS FOR THE HALF-YEAR ENDED 30th JUNE 2012

The Board of Directors of TPS Eastern Africa Limited is pleased to announce the unaudited results and financial statements for the half-year ended 30th June 2012

CONSOLIDATED INCOME STATEMENT

	Six months to 30-Jun-12 Shs'000	Six months to 30-Jun-11 Shs'000	% increase over 2011
Sales	2,209,633	2,113,639	4.5
Profit before exchange loss, interest, depreciation and taxation	404,516	430,426	(6.0)
Exchange gain/(loss) on foreign currency loans	3,466	(9,216)	
Net interest cost	(63,900)	(42,412)	
Depreciation on property, plant and equipment	(173,984)	(114,089)	
Profit before income tax	170,098	264,709	(35.7)
Income tax expense	(49,600)	(79,038)	
Profit after taxation	120,498	185,671	(35.1)
Attributable to:			
Equity holders of the Company	133,601	202,283	(34.0)
Non-controlling interest	(13,103)	(16,612)	
	120,498	185,671	(35.1)
Earnings per share for profit attributable to the equity holders of the Company			
- basic (Shs per share)	0.90	1.36	(34.0)
Weighted average number of shares (000s)	148,211	148,211	

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	Six months to 30-Jun-12 Shs'000	Six months to 30-Jun-11 Shs'000
Profit after taxation	120,498	185,671
Other comprehensive income: Items net of tax		
Currency translation differences	22,588	113,300
Total comprehensive income	143,086	298,971
Attributable to:		
Equity holders of the Company	156,189	315,583
Non-controlling interest	(13,103)	(16,612)
	143,086	298,971

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation Reserve Shs'000	Non controlling interest Shs'000	Total Shs'000
At 1 st January 2011	148,211	3,032,431	2,473,370	1,717,779	185,264	(157,883)	97,213	7,496,385
Comprehensive income for the period								
Profit for the period	-	-	-	202,283	-	-	(16,612)	185,671
Other comprehensive income:								
Currency translation differences	-	-	-	-	-	113,300		113,300
Total other comprehensive income	-	-	-	-	-	113,300		113,300
Total comprehensive income for the period	-	-	-	202,283	-	113,300	(16,612)	298,971
Transaction with owners								
Dividends:								
- final for 2010 partly paid					(57,618)			(57,618)
At 30 th June 2011	148,211	3,032,431	2,473,370	1,920,062	127,646	(44,583)	80,601	7,737,738

	Share Capital Shs'000	Share premium Shs'000	Revaluation reserves Shs'000	Retained earnings Shs'000	Proposed dividends Shs'000	Translation Reserve Shs'000	Non controlling interest Shs'000	Total Shs'000
At 1 st January 2012	148,211	3,032,431	2,404,495	2,262,751	192,674	(90,593)	96,855	8,046,824
Comprehensive income for the period								
Profit for the period	-	-	-	133,601	-	-	(13,103)	120,498
Other comprehensive income:								
Currency translation differences	-	-	-	-	-	22,588	-	22,588
Total other comprehensive income	-	-	-	-	-	22,588		22,588
Total comprehensive income for the period	-	-	-	133,601	-	22,588	(13,103)	143,086
Transaction with owners								
Dividends:								
- final for 2011 partly paid	-	-	-	-	(55,140)	-	-	(55,140)
At 30 th June 2012	148,211	3,032,431	2,404,495	2,396,352	137,534	(68,005)	83,752	8,134,770

SUMMARISED CONSOLIDATED STATEMENT OF CASHFLOWS

	Six months to 30-Jun-12 Shs'000	Six months to 30-Jun-11 Shs'000
Net cash generated from operating activities	320,036	194,356
Net cash used in investing activities	(324,342)	(473,498)
Net cash (used in)/from financing activities	(86,403)	5,097
Decrease in cash and cash equivalents	(90,709)	(274,045)
Movement in cash and cash equivalents		
At start of period	340,044	990,996
Effects of exchange rate changes	(4,170)	1,255
Decrease in cash and cash equivalents	(90,709)	(274,045)
At end of period	245,165	718,206

SUMMARISED CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	30-Jun-12 Shs'000	30-Jun-11 Shs'000
CAPITAL EMPLOYED		
Equity	8,134,770	7,737,738
Non-current liabilities	3,242,458	3,701,369
	11,377,228	11,439,107
REPRESENTED BY		
Non-current assets	10,586,704	10,212,618
Net current assets	790,524	1,226,489
	11,377,228	11,439,107

Commentary

Given their relative reliance on the Euro Zone based source markets, the Tourism Sector in Kenya and Zanzibar encountered various challenges during the first quarter (high season period) of year 2012 due to the consequences of the Euro zone crisis, as well as the negative media reports on security risks and travel advisories issued by foreign government agencies.

During the second quarter recovery in business levels was recorded mainly from the East African corporate sector and the domestic market segment complemented by contribution from non-traditional source markets (China, Thailand and Scandinavia).

The Tanzania tourism sector however recorded positive growth during the period under review which is encouraging.

The volatile economic environment in East Africa characterized by inflationary pressures associated with increased energy and interest costs, negatively impacted results for the period.

The results for the first half of the year are not a basis of forecasting a full year's result due to the seasonal nature of the tourism industry in East Africa and the fact that the forecast business outlook for the peak season from July to October 2012 is at healthy levels. Management remains cautiously optimistic that the Company will record satisfactory results at the end of the year. The Company continues to establish contacts in new markets in line with its business diversification strategy in order to compensate for the reduced business that can be expected from traditional source markets (Europe, United Kingdom, United States of America) due to the challenging global financial environment.

The Group continued to implement Information Communications & Technology initiatives, appropriate Human Resources Management practices and sound Corporate Social Responsibility activities that complement its long-term business strategies, just as it continues to pursue new business opportunities in line with its diversification policy and strategy. The Board and Management remain confident that notwithstanding the challenging business environment, the Group has the inherent strength and business resilience to continue to focus on its long-term growth prospects, thus maintaining its market share and its leading position in the industry.

In line with the Company's policy, the Board of Directors does not recommend the declaration of an interim dividend.

By Order of the Board

Dominic Ng'ang'a
COMPANY SECRETARY
25th July, 2012